termed as net profit. On the other hand, if the total in the debit side exceeds the credit side, the difference is termed as net loss. Net profit or net loss is transferred to the capital account.

12.4.4 Format of profit and loss account

Dr. **Profit and loss account for the year ended …….** **Cr.**

Particulars	₹	Particulars	₹
To Gross loss b/d	xxx	By Gross profit b/d	xxx
To Office and administrative expenses:		By Indirect incomes:	
Salaries	xxx	Rent earned	xxx
Rent, rates and taxes	xxx	Discount received	xxx
Printing and stationery	xxx	Commission earned	xxx
Postage	xxx	Interest on drawings	xxx
Legal charges	xxx	Interest on investments	xxx
Audit fees	xxx	Dividend on shares	xxx
Establishment expenses	xxx	Bad debts recovered	xxx
Trade expenses	xxx	Profit on sale of fixed assets	xxx
General travelling expenses	xxx	Apprenticeship premium	xxx
Lighting	xxx	Miscellaneous receipts	xxx
Insurance premium	xxx	By **Net loss***	xxx
		(transferred to capital account)	
To Selling and distribution expenses:			
Carriage outwards	xxx		
Advertisement	xxx		
Commission	xxx		
Brokerage	xxx		
Bad debts or provision for bad debts	xxx		
Export duty	xxx		
Packing charges	xxx		
To Other expenses and losses:			
Repairs	xxx		
Depreciation	xxx		
Interest charges	xxx		
Discount allowed	xxx		
Provision for discount on debtors	xxx		
Bank charges	xxx		
Interest on capital	xxx		
Donation and charity	xxx		
Loss on sale of fixed assets	xxx		
Abnormal loss due to fire, theft etc. not covered by insurance	xxx		
Miscellaneous expenses	xxx		
To **Net profit*** (transferred to capital account)	xxx		
	xxx		xxx

* The balance will be either net profit or net loss.

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